

TOWN OF TELLURIDE
TOWN COUNCIL
&
TELLURIDE HOUSING
AUTHORITY

AGENDA MEMORANDUM

Agenda Items:
THA – 2c,
Town Council – 12a, 12b,
Meeting Date: 11/28/23

TITLES:

TELLURIDE HOUSING AUTHORITY

2c. Consideration Of A Resolution Authorizing The Execution Of A Ground Lease Between The Telluride Housing Authority And The Town Of Telluride, Colorado, To Lease Certain THA Owned Property Generally Located At Portions of Lot A, Backman Village, Telluride, Colorado 81435, To The Town Of Telluride

TOWN COUNCIL

12a. Introduction and First Reading Of An Ordinance Of The Town Council Of The Town Of Telluride Concerning The Financing Of Improvements To The Town's Water System And The Shandoka Housing Project And Approving The Execution And Delivery By The Town Of A Ground Lease, Site & Improvement Lease, & A Lease Purchase Agreement And Related Documents

12b. Consideration and Acceptance of the Proposed Contract Sum for the Shandoka Building F Redevelopment Phase I Affordable Housing Project and Authorization to Proceed with Construction of the Project as set forth in Part 2 of the Contract Between the Town of Telluride and Shaw Construction LLC, and Authorization of the Town Manager to Make Expenditures from the Telluride Affordable Housing Fund in Support of the Shandoka Building F Redevelopment Phase I Affordable Housing Project

SUBMITTING DEPARTMENTS: Town Manager, Legal & Finance

EXHIBITS:

1. Project Budget Summary
 2. Building Plans
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BOARD/COMMISSION/COMMITTEE RECOMMENDATIONS: The Subcommittee of the Board of Directors of the Telluride Housing Authority ("Subcommittee") recommends the Telluride Housing Authority ("THA" or "Authority") and Town Council ("Council") proceed with construction and financing of the Shandoka Building F Redevelopment Phase I Affordable Housing Project ("Project") as set forth herein.

INTRODUCTION

Consistent with the 2023 Town Council Goals and Objectives for *1. Preserve Community, A. Pursue Affordable Housing Opportunities; 2. Plan and prioritize future projects; a. Complete planning for Shandoka Phase 3 remodel/replacement*, staff has prepared for Council's consideration recommendations to proceed with the Shandoka Building F Redevelopment Phase I Affordable

Housing Project as set forth herein, including authorizing the execution of the Part 2 of the Design/Build contract for the Project's construction (Council agenda item 12b). In support of these recommendations, staff, and the Town's and Authority's bond counsel (Butler/Snow) and financial underwriter (Stifel), have prepared resolutions and an ordinances for Council's consideration (Council agenda item 12a), which, if approved, would enable the Project to proceed to the construction and implementation phase. These agenda items are more specifically described and discussed below in this memorandum.

Also, in support of the Project, THA will consider a resolution (THA agenda item 2c) authorizing the execution of a 50 year ground-lease between THA and the Town for the purposes of constructing and operating the Project.

BACKGROUND/DISCUSSION

Shandoka Building F ("Property") is a THA-owned 23-unit apartment complex built in 1993, comprising three "wings" that operate as three separate buildings. Phase 1 consists of the north building of the complex, which currently contains 9 apartments. Town Council directed staff to draft and release an RFP for the redevelopment of Building F, and in March of 2023 Council selected Shaw Construction AKA Shaw Builders LLC ("Shaw"), teamed with Cushing Terrell Architects, for Design/Build services for the Project, and authorized the team to proceed to the design, entitlement and cost estimation phase. The Design/Build contract with Shaw established a two-step process, the first consisting of a design and cost estimation phase (Part 1); and a construction phase (Part 2), which would not commence unless, and until, the Proposed Contract Sum or Guaranteed Maximum Price ("GMP") (a fixed, not to exceed cost) from the Design/Builder for the construction of the Project, as described and set forth in the Project's plans and specifications, was accepted.

As part of the Part 1 services, the Design/Build team evaluated three approaches to the Project:

1. Demolition and new stick-built construction
2. Demolition and new modular construction
3. Renovation of and addition to the existing buildings

Results of this Approach Analysis were presented to the Subcommittee at their June 10, 2023 meeting, and the renovation and addition approach was selected for the following reasons:

- A. Structurally, the existing buildings are sound, with most of the existing maintenance problems related to plumbing issues
- B. The renovation and addition allows for a phased approach, which minimizes the impact of displacement on existing Building F residents
- C. Most cost-effective approach

The Design/Build team has completed the design and entitlement processes for the Project, obtaining Planning and Zoning Commission approval for the PUD in September 2023, and final HARC approval in September of 2023. Since September the Design/Build team has worked to complete the 50% Construction Drawings and plans, and the associated final cost estimation (GMP) for the Project.

Based on the GMP and associated 50% Construction drawings, staff recommends the Town contract with Shaw Construction LLC for the Part 2 Services for the Project with a not-to-exceed GMP (as a Stipulated Sum) amount of \$3,603,933. The Part 2 contract provides for full performance and payment bonding (Or other form of performance security as determined suitable and acceptable by Council.), one-year warranty, the right of the owner to terminate at any time, etc. Project plans and contract documents are available for review at the Town Attorney's office.

The scope included in the Shaw GMP is described below in the Project Summary section. Additionally, staff recommends that Town Council authorize an additional borrow of \$1,225,000 on the Certificate of Participation, described in the Project Financing Approach section and as shown in Exhibit 1 Project Budget Summary, to allow for future desired improvements not currently contemplated by the proposed Part 2 contract (also described in the Project Summary section).

PROJECT SUMMARY

As noted above, the design and entitlement processes for the Project have been completed, specifically encompassing HARC approval for renovation, alterations, and addition to the existing Shandoka Building F North Building; and Planning and Zoning Commission approval for a Planned Unit Development for increased site coverage.

As designed and approved, Project is comprised of the north wing of Shandoka Building F (Phase 1) and contains approximately 10,782 sf. including mechanical areas.

The housing unit mix and approximate unit sizes are summarized in the table below:

Use	Number of Units	Range of Unit Size
Studio	3	350 sf. (new)
Two-Bedroom	6	750 sf. (existing and reconfigured)
Three-Bedroom	2	1016 sf. (existing)
Four-Bedroom	1	1245 sf. (existing)

The \$3,603,933 GMP includes the following scope:

- Addition of three studio units at north end of building.
- All new interior finishes and appliances, including new flooring, doors and hardware, base and case trim, cabinets, countertops, and new paint for all existing units. All drywall to remain except surgical removal and repair to accommodate plumbing and mechanical upgrades. Includes new light fixtures. Bathrooms to include new tub inserts or tile. Includes new tub / shower assembly.
- Interior finishes will be similar in quality to recent Town/THA projects and include low VOC paint, LVT flooring; textured melamine cabinets and doors; and drywall trimmed doors.
- Plumbing: Replace horizontal sanitary waste piping. Provide all new plumbing fixtures. Insulate crawlspace heat piping. Existing hot water system (new stainless boiler installed in 2015) to remain has capacity to accommodate new units.
- Mechanical: Utilize existing fin tube radiant heating system and boilers. Remove bathroom exhaust fans and provide new ERV at all units with associated ductwork. Repair and replace baseboard radiators as required. Replace radiant control valves at units. Insulate hot water piping at crawlspace. Provide ERV at crawlspace with associated ductwork. Repair and replace kitchen exhaust ductwork.
- Electrical: Utilize existing wiring and conduits. Replace breakers serving bedrooms and living spaces with ARC fault breakers. Prepare building to be "all-electric ready" as feasible. Entry door to electrical room to be relocated to provide adequate wall space. Utilize and expand existing fire alarm system.

The additionally requested, currently uncontracted \$1,225,000 would be set aside for future replacement of the existing siding, roof, and windows, including new flashing and insulation as required. This additional scope could proceed in concert with Phase 1, proceed concurrently with the potential Phase 2 project, or be held to a later date, with work commencing within the next three years. Note, window and siding replacement projects have occurred on other phases of Shandoka Apartments while occupied. Staff continues to evaluate several other possible improvements, including 3rd level extension, additional (4) bedroom unit, and stubbed in connections for in-unit laundry.

Project Purpose/Affordability Targeting

The Subcommittee recommends the Project continue to be comprised of rental rather than for-sale units, consistent with its current operation as a Shandoka facility. The Subcommittee recommends, consistent with input from the Community Services Department, that the Project's affordability target be an average of 120% AMI for San Miguel County, with the assumption that County household incomes will rise approximately 3.5% between 2023 and the Project's completion in